Student activity

Think: Ram enterprises received a bank statement on 31st March, 2018, which showed a credit balance of ₹ 13,500. On the same date, the balance as per cash book was ₹ 11,000.

Think of minimum five possible causes of difference [with amount] between these two balances.

CASE STUDY

Magesh, an enthusiastic young entrepreneur, started a business on 1st December, 2017. He opened a current account with a nationalised bank for his business transaction. In the same bank, he maintains his personal savings bank account too. He did not find time to maintain his cash book. So he appointed a person called Dinesh to take care of bank transactions. But that person was inexperienced.

On 1st December, 2017, the opening balance as per cash book and bank record was the same. On 2nd December, Magesh issued a cheque for ₹ 2,000 to a supplier, but the same was entered in the credit side of the cash book as ₹ 200.

On 3rd, December, Magesh issued his savings bank account cheque for his personal expenses amounting to ₹ 2,500, but Dinesh assumed this as current account cheque and the same was entered in the cash book as drawings.

Dinesh was asked to deposit cash of ₹1,000 in cash deposit machine in order to make a payment to one of the business' supplier. He credited the same in the bank column of the cash book.

On 15th December, one of his customers made online payment to Magesh's current account, amounting to ₹ 1,000. There was no entry in the cash book for this.

Dinesh received his salary in cash for ₹ 5,000. He credited this amount in the bank column of cash book.

Bank made payment on 23rd December, amounting to ₹ 2,500, as per standing instruction. But, there is no entry in the cash book for the same.

On 31st, December 2017, Magesh received a bank statement from his bank, which showed a credit balance of ₹19,700. He instructed Dinesh to check the statement with the cash book. On comparing both, Dinesh found that the cash book showed a balance of ₹14,500. He was puzzled.

He needs your help to reconcile the balances.

To explore further

- Are there ways to reduce the number of entries in the bank reconciliation statement? If so, what is to be done?
- "Ten years from now, there will not be any need to prepare bank reconciliation statement" - Do you agree? Why?
- Can the concept of reconciliation be used other than banking transactions?

Reference

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